

WHEN TO BUY?

The strategy is to wait for the Williams %R to go in the overbought zone and take a pullback at the -50 level. During the same time, the price should be trading above the SMA line.

Overbought

Once these criteria are met, you can take a buy trade above the high of the green candle and put a stoploss at the swing low.

Let's understand with an example to understand better:

In this illustration, we have implemented this strategy on **Nifty 50 on 30 minutes timeframe**. However, you can use this strategy to trade any security. The buy signal triggers when the price goes above the SMA and the Williams %R touches the -50 line from above and is reversed. Like many other trades, this trade is also profitable with a Risk to Reward ratio of more than 1:2.

